

Problem Set 2

Tate Mason

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Problem 1: Data Overview and Analysis

Part A: Data Summary

In Colombia, we see fewer overall observations in every sector:

- Food Industry: 6140
- Apparel Industry: 4454
- Metal Industry: 3678
- Textile Industry: 2840
- Wood Industry: 964

So, we see that Colombia has a huge food and manufacturing sector, whereas they have a smaller industry producing raw materials like wood.

In Chile, we see an interesting distribution of observations:

- Food Industry: 18833
- Metal Industry: 5856
- Textile Industry: 5447
- Wood Industry: 4835
- Apparel Industry: 4694

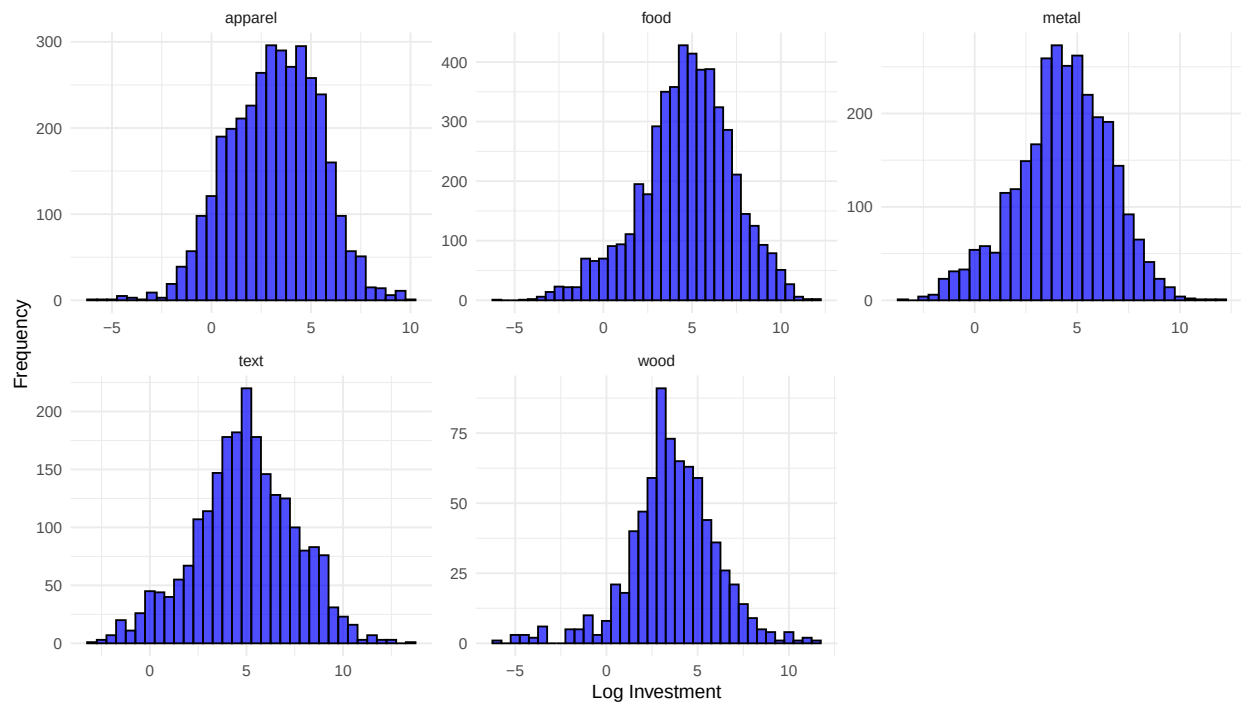
So, Chile has a massive food industry, but also has a balanced manufacturing sector with a lot of metal, textile, and wood production.

Over time, we see varying trends, indicating some industrial growth and some decline in different sectors for both countries. Further, what may be a data aggregation issue, 1981 has disproportionately more observations than other years for both countries. Something to look back at.

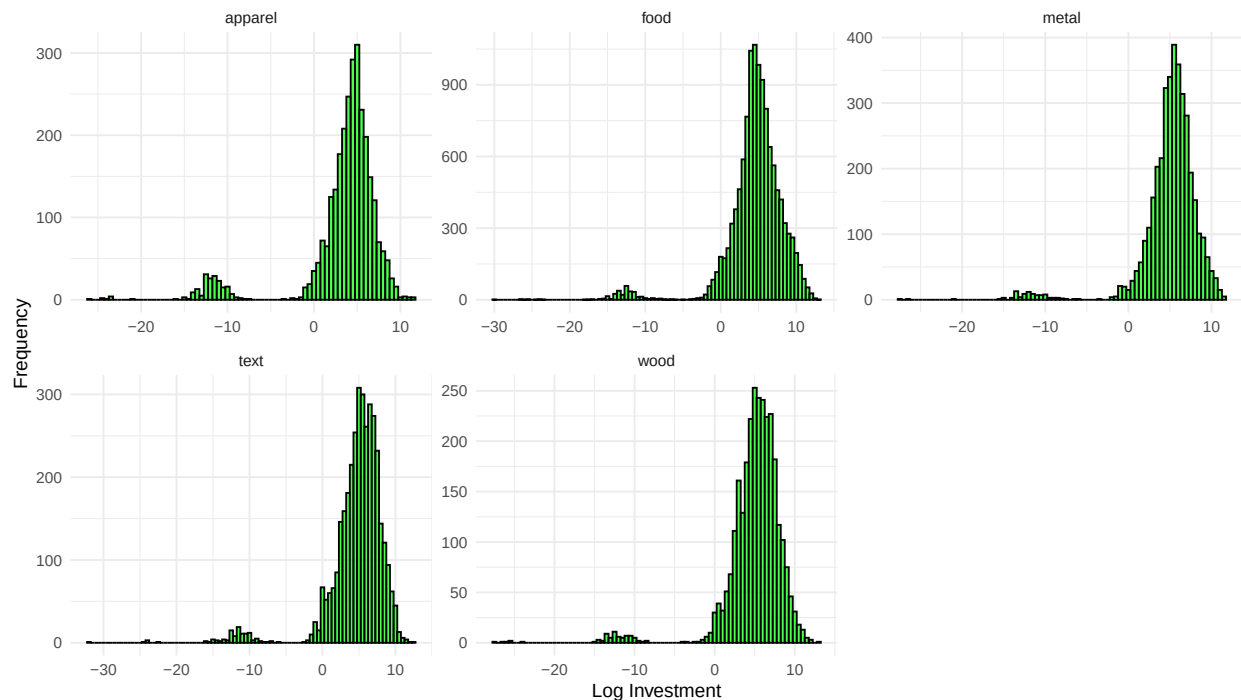
Year	Colombia Observations	Chile Observations
1979		

Part B: Analysis of Investment by Industry

Histogram of Log Investment by Industry, Colombia



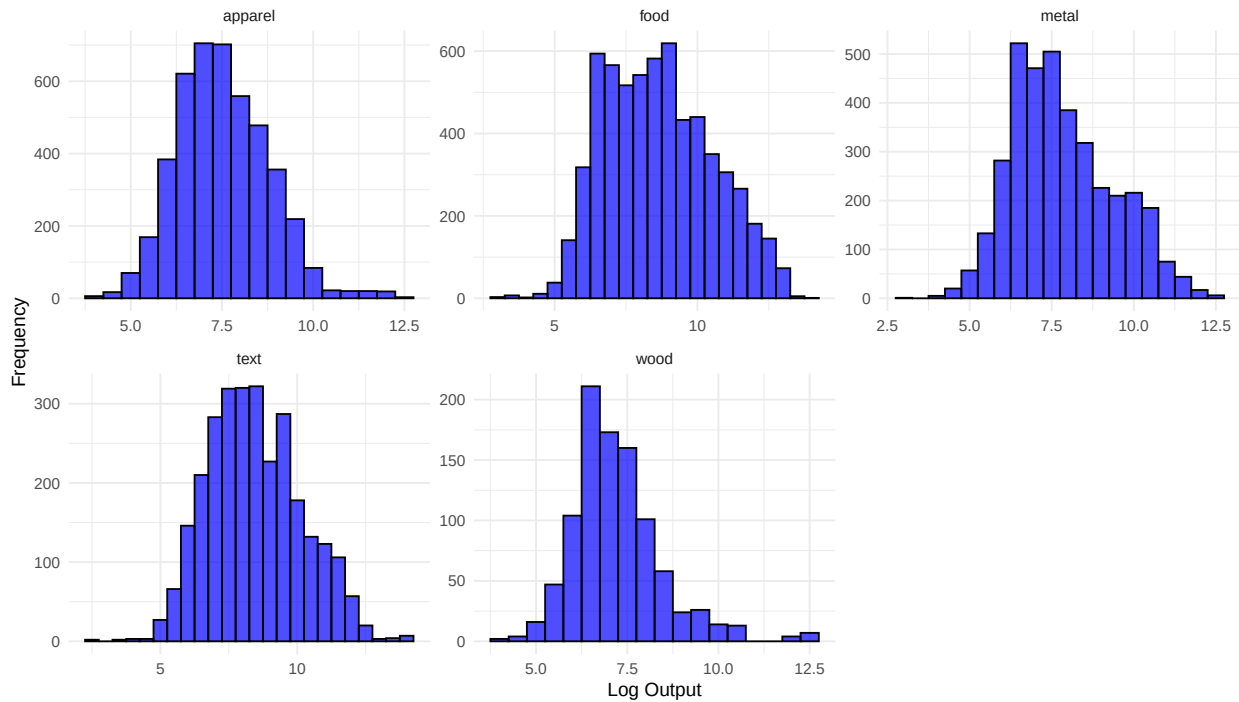
Histogram of Log Investment by Industry, Chile



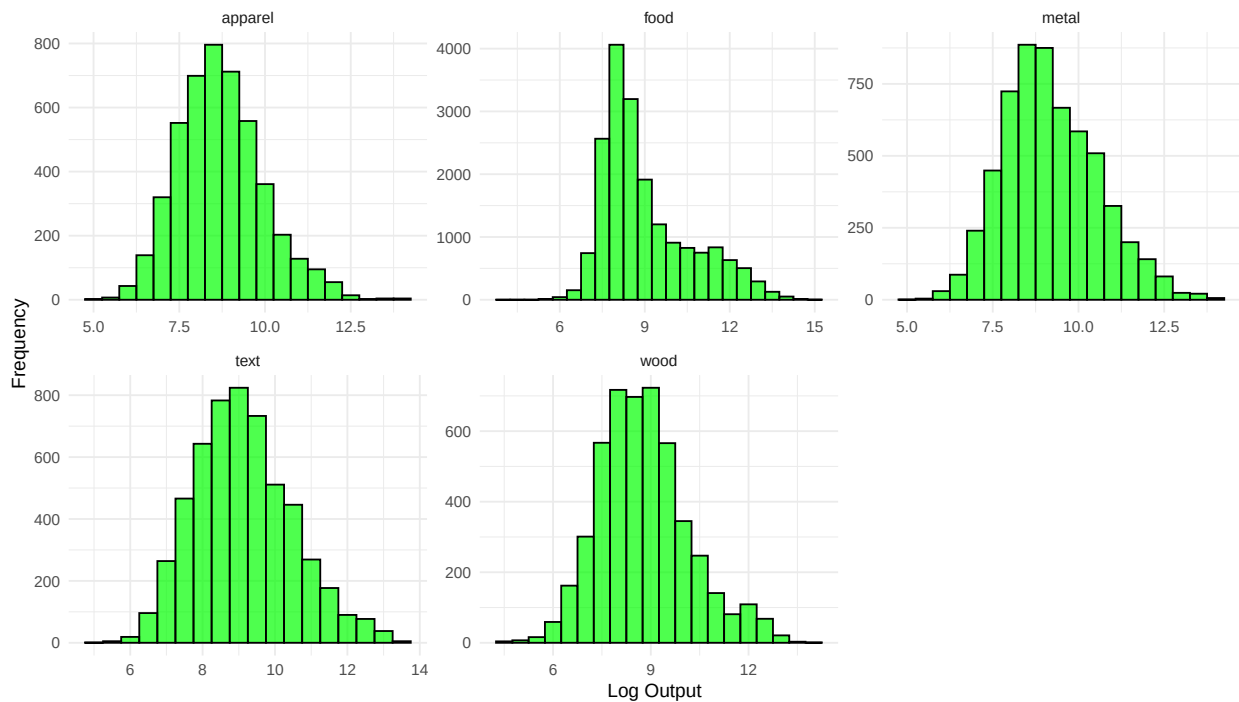
In Colombia, there is much more dispersion in investment levels across industries, with some industries even experiencing negative investment. Food, metal, and textiles have very similar investment patterns, with means around 5. Apparel and wood are similar to the other three, though a bit lower. In Chile, investment levels are super consistent across industries, with all industries having means around 5-7. Distributions are also much tighter, though most do have some negative investment observations.

Part C: Analysis of Ouput by Industry

Histogram of Log Output by Industry, Colombia



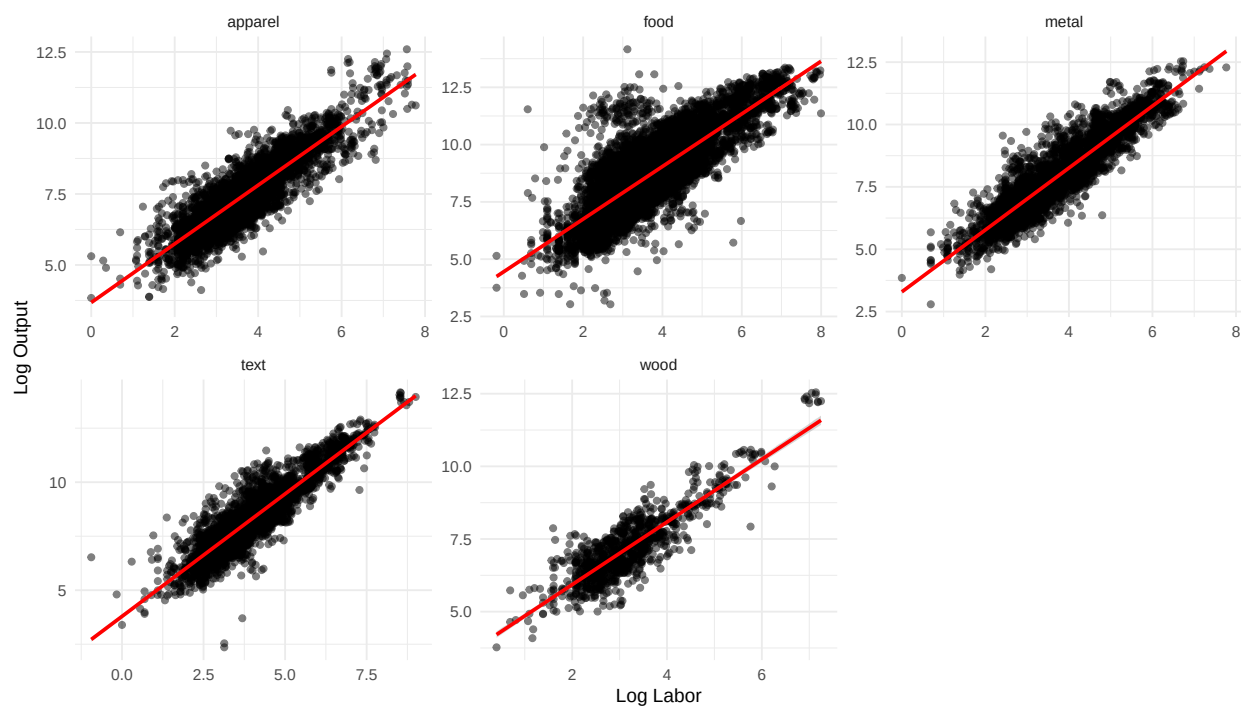
Histogram of Log Output by Industry, Chile



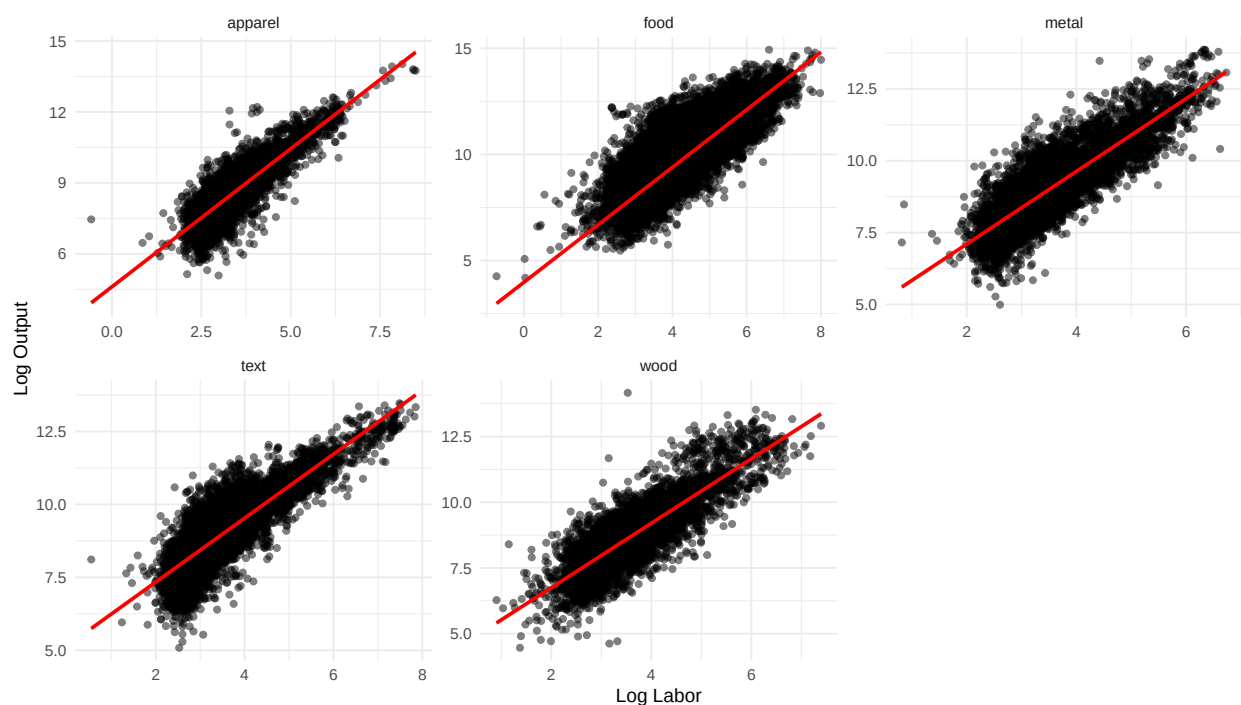
In Colombia, output levels do not vary too much across industries, with means around 7-10 and similar distributions. In Chile, distributions are also similar, though there is a bit more variation. Textiles and food have a wider distribution of output levels, while apparel and metal are a bit tighter.

Part D: Analysis of Labor Output Correlation by Industry

Scatter Plot of Log Output vs Log Labor (Colombia)



Scatter Plot of Log Output vs Log Labor (Chile)



In both countries, there is a positive relationship between labor input and output across all industries. The strength of this relationship varies by industry, with some industries showing a stronger correlation than others. For example, in Colombia, the food industry shows a strong positive correlation, while the wood industry has a weaker correlation. In Chile, all industries show a strong positive correlation.

Problem 2: Estimation Techniques

Part A: OLS

To estimate via OLS, we estimate the following equation:

$$Y_{it} = e^{\alpha_0 + \omega_{it} + \varepsilon_{it}} K_{it}^{\alpha_k} L_{it}^{\alpha_l} \quad (1)$$

$$y_{it} = \alpha_0 + \omega_{it} + \alpha_k k_{it} + \alpha_l l_{it} + \varepsilon_{it} \quad (2)$$

Where y is log of value-added output, k is log capital, l is log labor, and ω is the productivity shock. We estimate this equation for both Colombia and Chile, first homogenous across industries, then heterogenous by industry.

OLS Homogenous Results:

Country	α_0	α_k	α_l	R^2
Colombia (Homogenous)	2.186	0.273	0.831	0.823
Chile (Homogenous)	2.351	0.887	0.303	0.660

OLS Heterogenous Results:

Country	Industry	α_0	α_k	α_l	R^2
Colombia					
	Food	2.238	0.321	0.754	0.831
	Apparel	2.510	0.133	0.921	0.831
	Metal	1.974	0.208	0.998	0.831
	Textile	2.316	0.257	0.858	0.831
	Wood	2.559	0.117	0.858	0.831
Chile					
	Food	1.950	0.334	0.896	0.689
	Apparel	2.865	0.150	1.055	0.689
	Metal	2.734	0.232	0.994	0.689
	Textile	2.709	0.243	0.874	0.689
	Wood	2.488	0.174	1.016	0.689

These results indicate that there are significant differences in the production function parameters across countries and industries. Colombia has a higher labor elasticity compared to Chile, suggesting that labor plays a more important role in production in Colombia. Conversely, Chile has a higher capital elasticity, indicating that capital is more important in their production process. When looking at heterogenous estimates, we see that within each country, different industries have varying elasticities, reflecting the unique production processes and input requirements of each industry.

Part B: OLS with Investment

To estimate via OLS with investment, we modify our previous equation to include investment as an additional regressor:

$$y_{it} = \alpha_0 + \omega_{it} + \alpha_k k_{it} + \alpha_l l_{it} + \alpha_i i_{it} + \varepsilon_{it} \quad (3)$$

Where i is log investment. We estimate this equation for both Colombia and Chile, first homogenous across industries, then heterogenous by industry.

OLS with Investment Homogenous Results:

Country	α_0	α_k	α_l	α_i	R^2
Colombia (Homogenous)	2.282	0.242	0.828	0.031	0.836
Chile (Homogenous)	2.521	0.299	0.844	0.017	0.689

OLS with Investment Heterogenous Results:

Country	Industry	α_0	α_k	α_l	α_i	R^2
Colombia						
	Food	2.384	0.267	0.767	0.042	0.844
	Apparel	2.545	0.119	0.925	0.015	0.844
	Metal	2.041	0.196	0.985	0.017	0.844
	Textile	2.278	0.230	0.834	0.045	0.844
	Wood	2.518	0.139	0.954	-0.001	0.844
Chile						
	Food	2.091	0.339	0.843	0.015	0.715
	Apparel	3.106	0.146	1.006	0.016	0.715
	Metal	3.207	0.218	0.943	0.022	0.715
	Textile	2.359	0.202	0.846	0.027	0.715
	Wood	2.624	0.176	0.977	0.020	0.715

Part C: OP Estimation

Now, when we estimate with the Olley-Pakes method, we follow the two-step procedure outlined in the literature. In the first step, we estimate the production function parameters using a non-parametric approach to control for the endogeneity of input choices. In the second step, we use the estimated parameters to recover the productivity shocks.

That is, we estimate the following equation:

$$y_{it} = \alpha_l l_{it} + \phi(i_{it}, k_{it}) + \varepsilon_{it} \quad (4)$$

Where $\phi = \alpha_0 + \alpha_k k_{it} + \alpha_i i_{it} + h(i_t, k_{it})$. We estimate this equation for both Colombia and Chile, first homogenous across industries, then heterogenous by industry. We estimate via a second stage regression to recover α_k and α_ϕ :

$$y_{t+1} + \alpha_l l_{t+1} = \alpha_k k_{t+1} + \alpha_i i_{t+1} g(\phi_t - \alpha_i i_t - \alpha_k k_t - \alpha_0) + \varepsilon_{t+1} \quad (5)$$

Country	α_0	α_k	α_l	α_ϕ
Colombia (Homogenous)	0.839	0.218	0.776	0.510
Chile (Homogenous)	0.755	0.440	0.786	0.522

Now, for heterogenous estimates:

Country	Industry	α_0	α_k	α_ϕ
Colombia				
	Food	1.944	0.279	0.092
	Apparel	1.947	0.093	0.214
	Metal	1.227	0.165	0.309
	Textile	1.807	0.262	0.122
	Wood	1.746	0.058	0.288
Chile				
	Food	1.356	0.357	0.154
	Apparel	2.053	0.064	0.337
	Metal	2.480	0.218	0.228
	Textile	2.936	0.235	0.080
	Wood	1.759	0.152	0.263

Part D: LP Estimation

To estimate via Levinsohn-Petrin, we modify our previous equation to include intermediate inputs as a proxy for unobserved productivity shocks:

$$y_{it} = \alpha_l l_{it} + \phi(m_{it}, k_{it}) + \varepsilon_{it} \quad (6)$$

Where m is log intermediate inputs. We estimate this equation for both Colombia and Chile, first homogenous across industries, then heterogenous by industry.

We then estimate via a second stage regression to recover α_k and α_ϕ :

$$y_{t+1} + \alpha_l l_{t+1} = \alpha_k k_{t+1} + \alpha_m m_{t+1} g(\phi_t - \alpha_m m_t - \alpha_k k_t - \alpha_0) + \varepsilon_{t+1} \quad (7)$$

Country	α_0	α_k	α_l	α_m	α_ϕ
Colombia (Homogenous)	1.131	0.083	0.616	0.350	0.112
Chile (Homogenous)	0.673	0.0186	0.481	0.396	0.203

Now, for heterogenous estimates:

Country	Industry	α_0	α_k	α_m	α_ϕ
Colombia					
	Food	0.976	0.074	0.412	0.010
	Apparel	1.403	0.029	0.267	0.216
	Metal	1.040	0.067	0.434	0.037
	Textile	1.086	0.118	0.451	-0.143
	Wood	1.309	0.047	0.237	0.275
Chile					
	Food	0.014	0.155	0.495	0.177
	Apparel	1.153	0.009	0.221	0.518
	Metal	1.456	0.113	0.372	0.308
	Textile	1.536	0.136	0.275	0.308
	Wood	0.648	0.075	0.441	0.244

Part E: ACF Estimation

To estimate via Akerberg-Caves-Frazer, we follow a similar two-step procedure as in the OP method, but we also account for the simultaneity bias in input choices. In the first step, we now include intermediate inputs in the non-parametric function, ϕ , for estimation:

$$y_{it} = \alpha_0 + \alpha_k k_{it} + \alpha_l l_{it} + \alpha_m m_{it} + f^{-1}(m_{it}, k_{it}, l_{it}) + \varepsilon_{it} \quad (8)$$

Which can be used to recover productivity shocks as:

$$y_{it} = \phi(m_{it}, k_{it}, l_{it}) + \varepsilon_{it} \quad (9)$$

The second stage is now different, using lagged inputs as instruments to control for simultaneity bias:

$$y_t = \alpha_k k_t + \alpha_l l_t + g(\phi_{t-1} - \alpha_k k_{t-1} - \alpha_m m_{t-1} - \alpha_l l_{t-1} - \alpha_0) + \varepsilon_t \quad (10)$$

Country	α_0	α_k	α_l	α_ϕ
Colombia (Homogenous)	-0.039	0.041	-0.188	1.004
Chile (Homogenous)	-0.162	0.126	-0.087	1.018

Problem 3: Productivity Dynamics

Part A: Estimation of ω Using OP Estimates - Homogenous

Country	Mean of ω	Std. Dev. of ω
Colombia	294.294	702.900
Chile	74.876	82.639

In Colombia, we see a much higher mean productivity level compared to Chile, with a much larger standard deviation as well. This indicates that Colombian firms are generally more productive, but also have a wider range of productivity levels compared to Chilean firms. Thus, Colombia's calculation seems to have some sort of outlier issue, as the standard deviation is more than double the mean. This warrants further investigation into the data and estimation process to ensure accuracy.

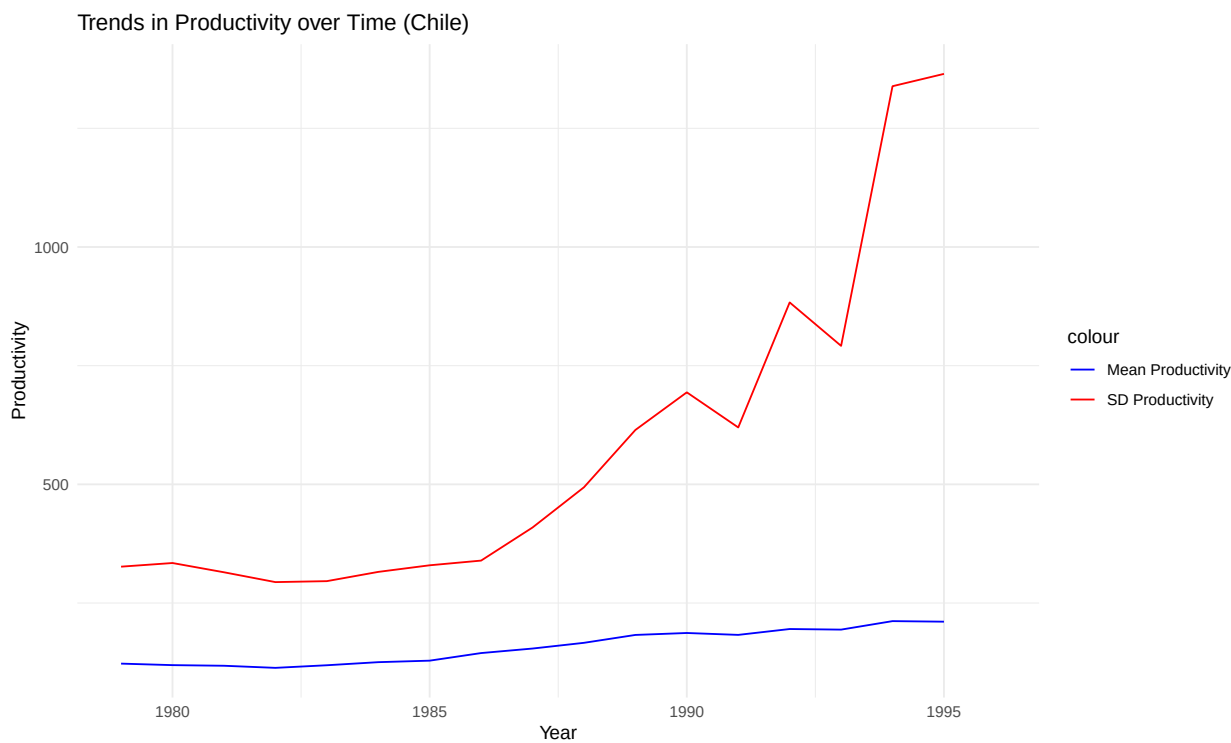
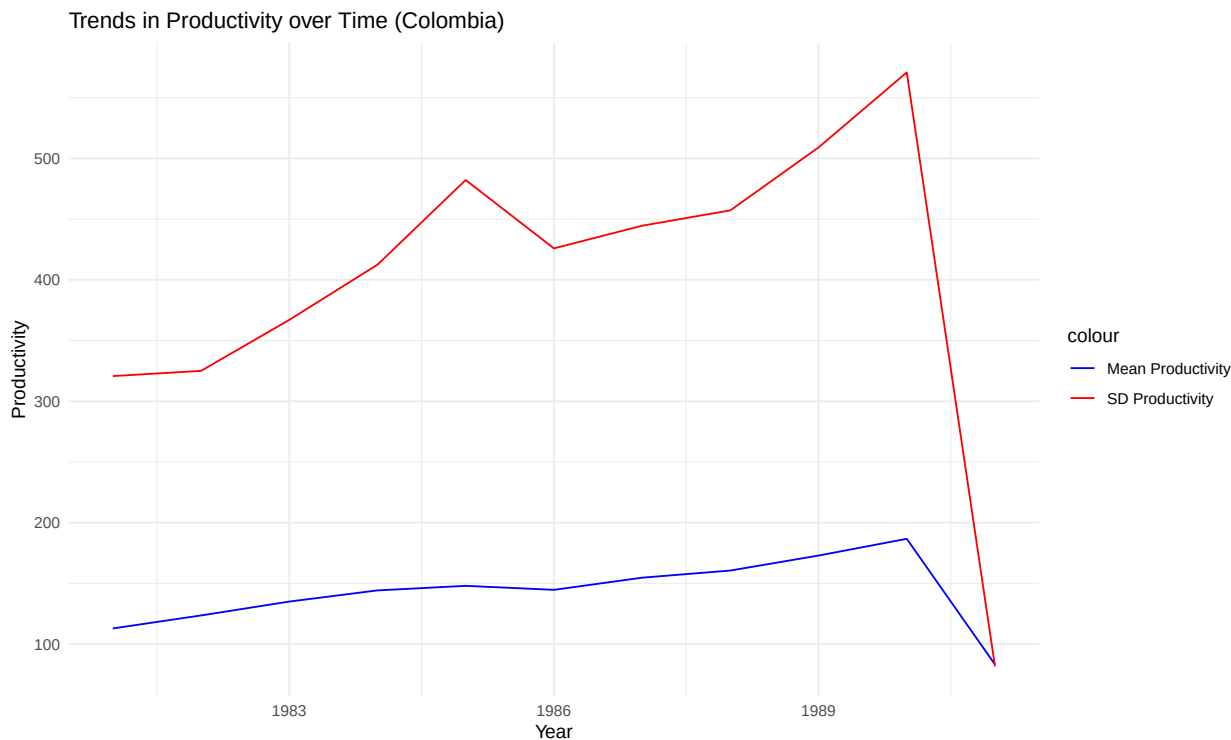
Part B: Estimation of ω Using OP Estimates - Heterogenous

Country	Industry	Mean of ω	Std. Dev. of ω
Colombia			
	Food	61.7	115
	Apparel	163	376
	Metal	238	400
	Textile	124	279
	Wood	294	1310
Chile			
	Food	90.9	124
	Apparel	460	1849
	Metal	88.7	119
	Textile	62.7	134
	Wood	357	619

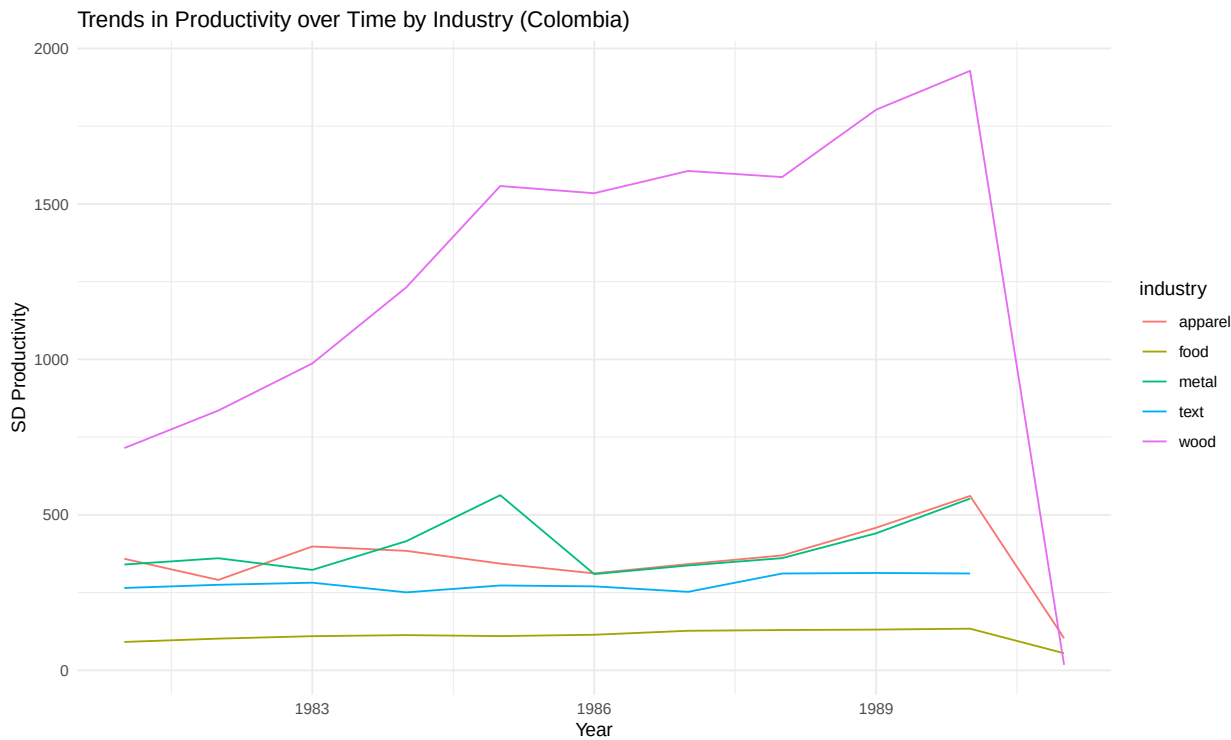
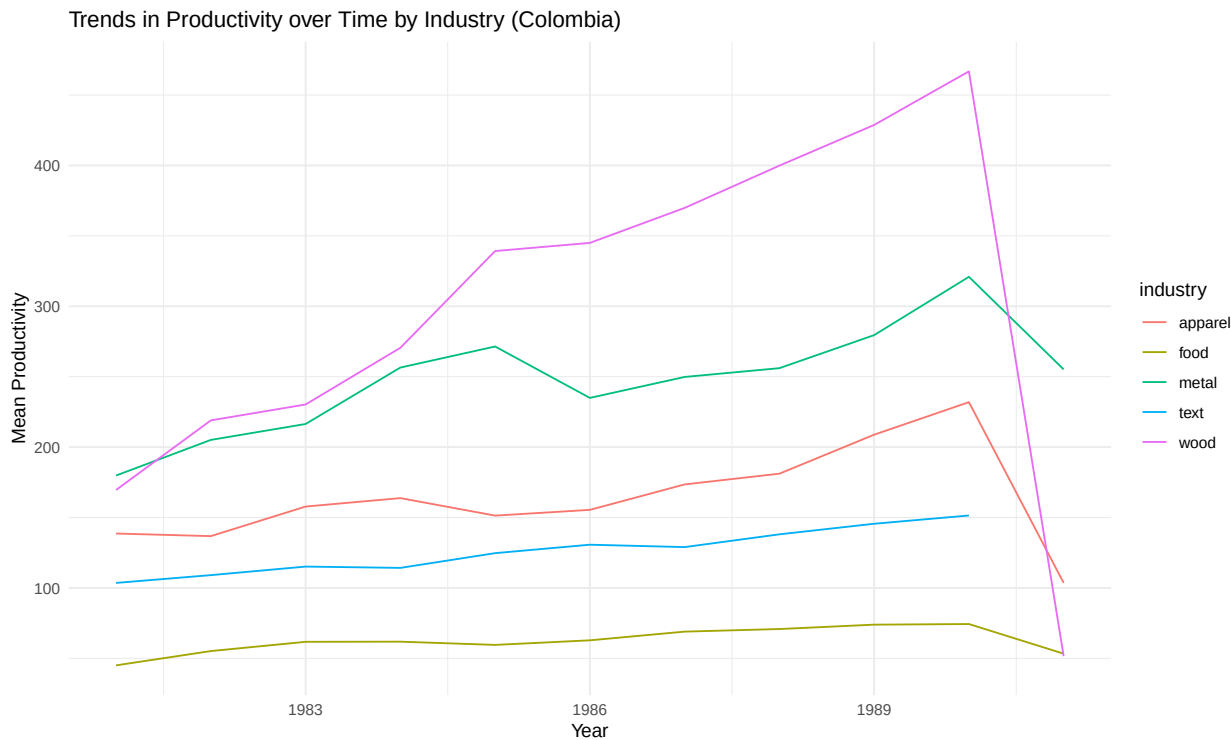
These are super weird results due to the massive standard deviations, likely caused by outliers in the data. What can be seen is that Colombia has a generally higher mean productivity than Chile across all industries except wood and apparel. Within Colombia, wood and metal industries have the highest mean productivity, while food has the lowest. In Chile, apparel and wood have the highest mean productivity, while textiles and metal have the lowest.

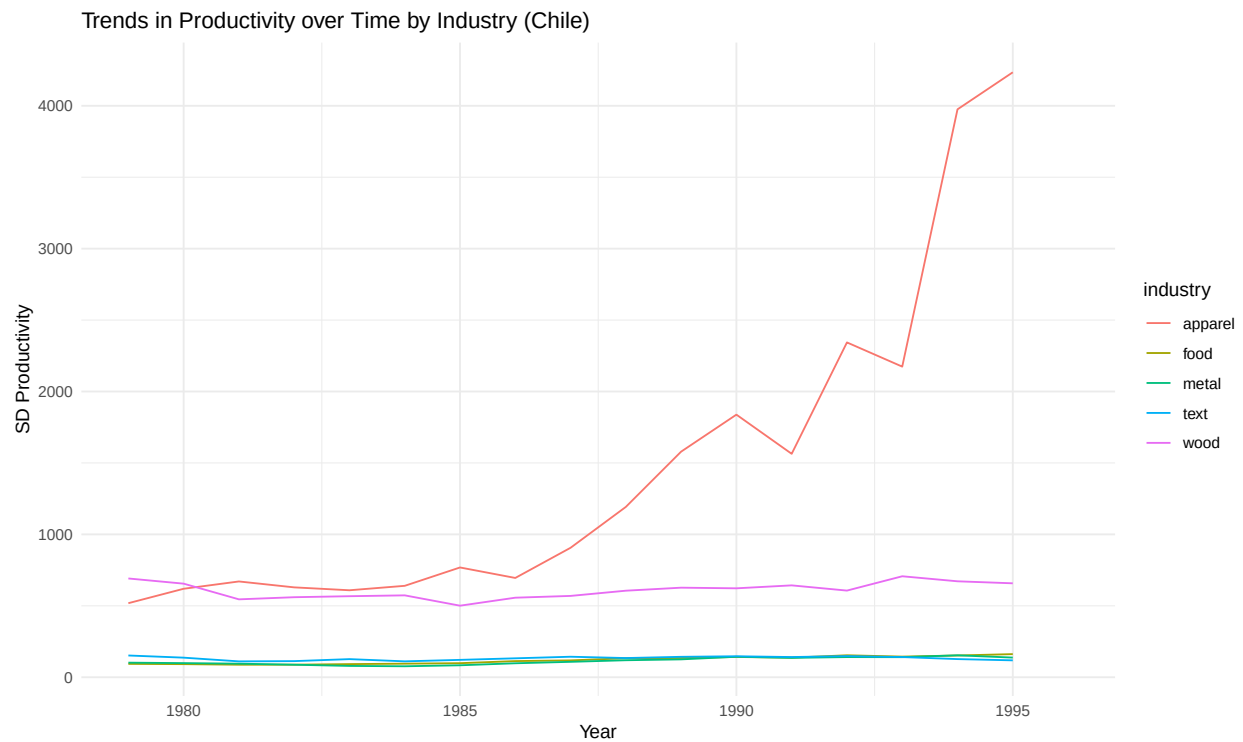
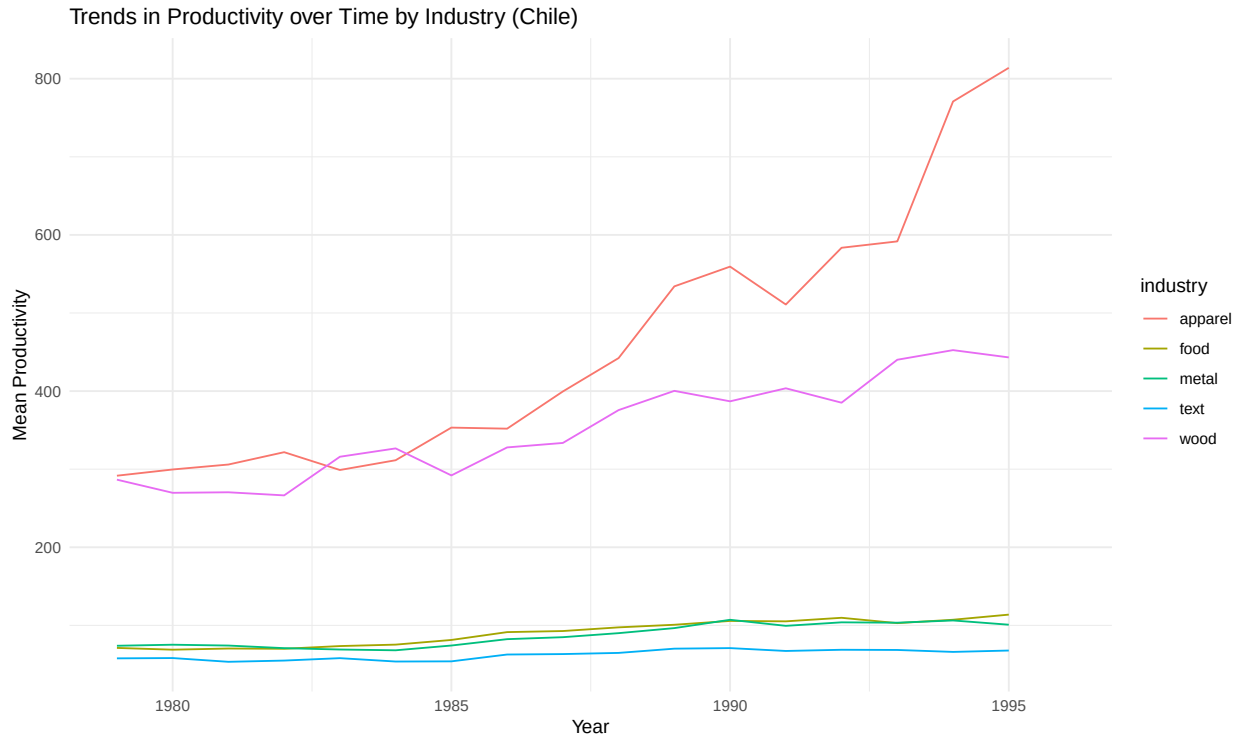
Part C: Time Trends in Productivity

Homogenous Productivity Trends



Heterogenous Productivity Trends by Industry





Discussion

In Colombia, average productivity trends upward over the time horizon, with a slightly lesser increase in standard deviation, indicating that the firms are becoming more productive on average with time, while variability is not increasing to the same degree. In Chile, we see a spike in productivity after 1985, continuing until 1990 before slowing. Standard deviation also increases over time, with more consistency in

growth. This suggests that Chilean firms are also becoming more productive on average, but with greater variability among firms.

When splitting out by industry, we see that Colombian textile industries are the most productive on average, while wood and apparel are the least. However, the textile industry also exhibits the highest variability, while food is the least so. In Chile, all industries are increasing in productivity over time to similar degrees, with textiles being the most productive until about 1992 when food overtakes it. Apparel is the least productive until about 1994, when metal takes over as least productive. Food and apparel are the most variable industries in Chile when looking at growth in standard deviation, though textiles have the highest level until about 1990. Over the whole horizon, wood and metal are the least variable.